water’ as the ‘company lacked the size, marketing experience and product mix to compete with foreign companies sure to enter the market’ because of the ‘new government policy reducing steel tariffs’. It was a ‘rather turbulent moment both in Tata history and in TISCO’s history, and it happened just by coincidence’, Ratan said later in an interview. With the country also ‘going through a recession’, TISCO had ‘inordinate problems, relating to changes in the marketplace’, he added.

The first serious effort to understand the problems gripping the company came only in 1989 when Arthur D. Little was engaged to study TISCO and make recommendations for its modernization. Even this was undertaken only ‘at Ratan Tata’s urging’. It was an elaborate study conducted by about fifty experts after extended visits to Jamshedpur over the period of a year.

The conclusions were damning. The consultancy firm warned that TISCO would perish in the competitive environment of the liberalized ecosystem. ‘You can’t face competition, your technology is old, your processes are outdated, you have no scientific marketing, no customer orientation, no IT processing,’ Muthuraman recalls the firm’s senior officials saying.

While preparing the Annual Operating Plan for the year 1993–94, the finance wing warned that the company was ‘bankrupt’, recalls Hussain.

The problems were exacerbated, as Ratan recalled in an interview: ‘There was another crisis because the freight equalization had just been discontinued.’ The ‘major markets’ were in the ‘south and the west’ of India, while TISCO had a geographical disadvantage as it was ‘located in the east’. The company had focused on the ‘east and they willy-nilly vacated all the other markets’. Consequently, when recession came, eastern India was more impacted and ‘TISCO was forced to give rebates’ to sell its products and it became a ‘double whammy’, said Ratan.

In contrast companies that were situated close to major markets stood to benefit. TISCO had, in addition, not yet reoriented to the dynamics of a competitive market. It ‘had just come out of the administered price regime and out of an era where many price increases were simply passed on to the consumer’, which was ‘a seller’s market in which it hadn’t really oriented itself to the customer’, Ratan added.

Concentrated Efforts